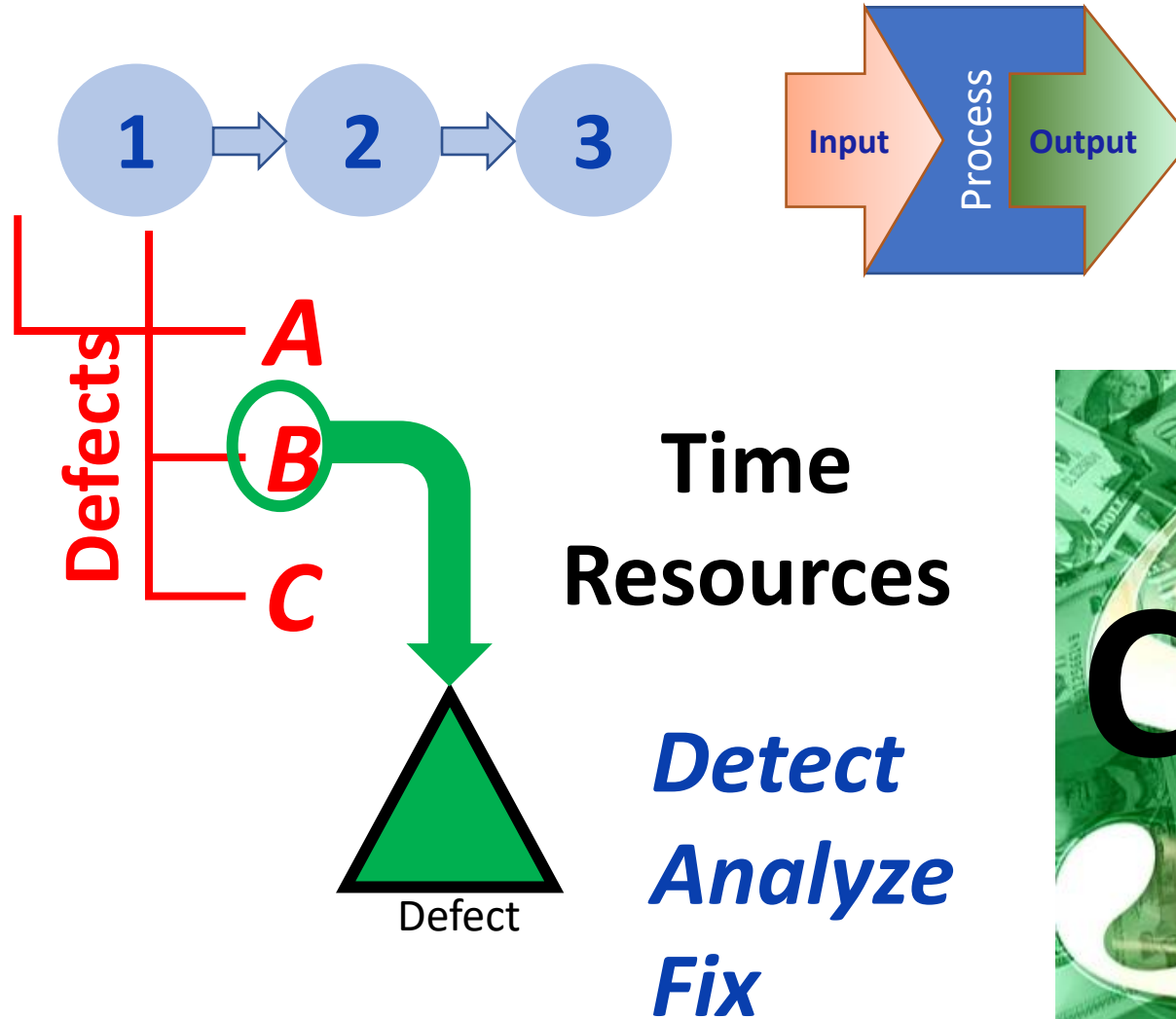


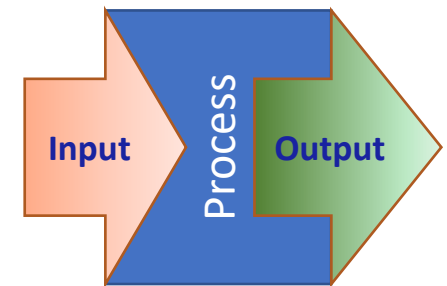
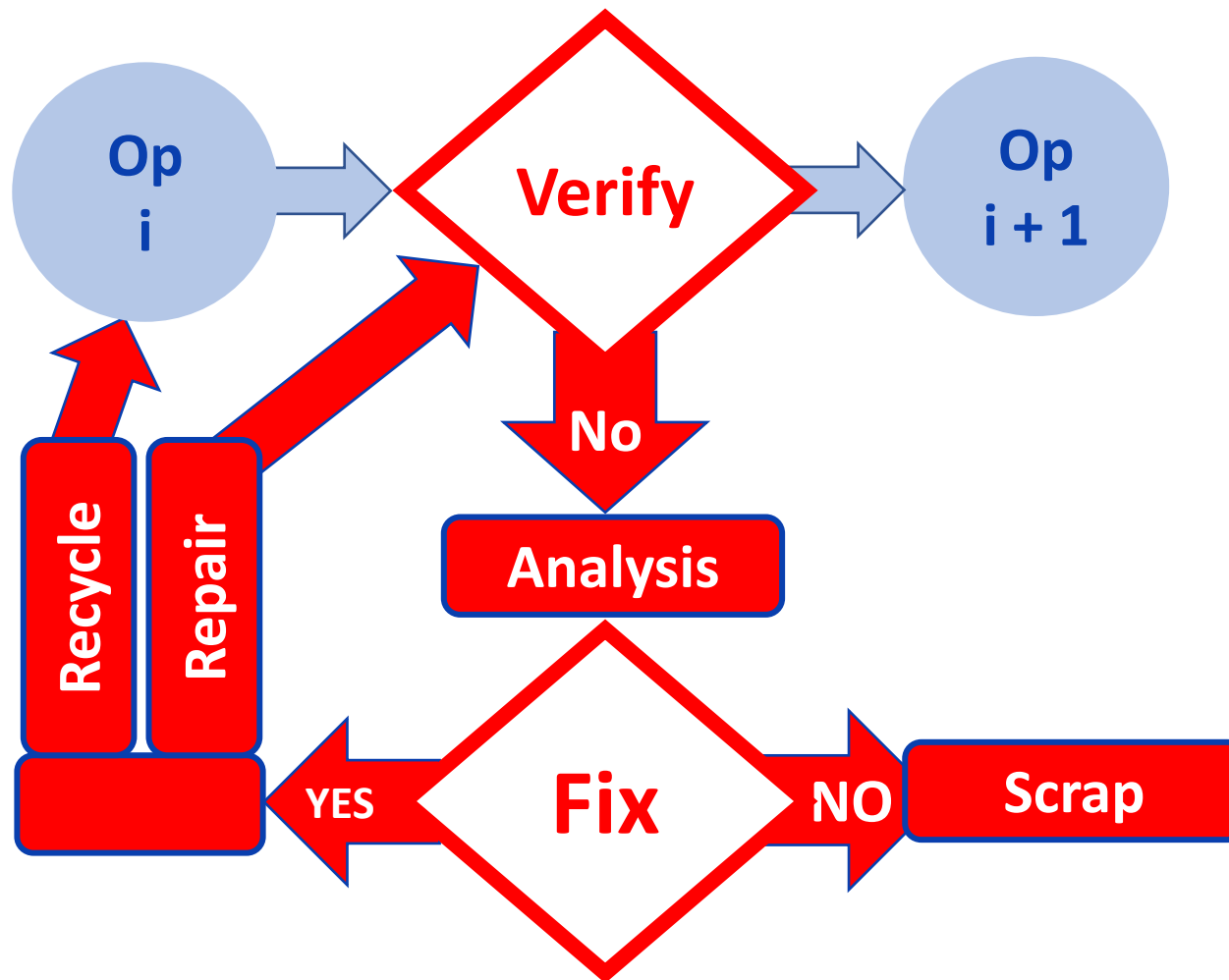
SUMMARY SLIDE - NOTES

Processes & the Cost of Quality



Understanding the COPQ – Cost of Poor Quality...

Value Added vs. Non-Value Added



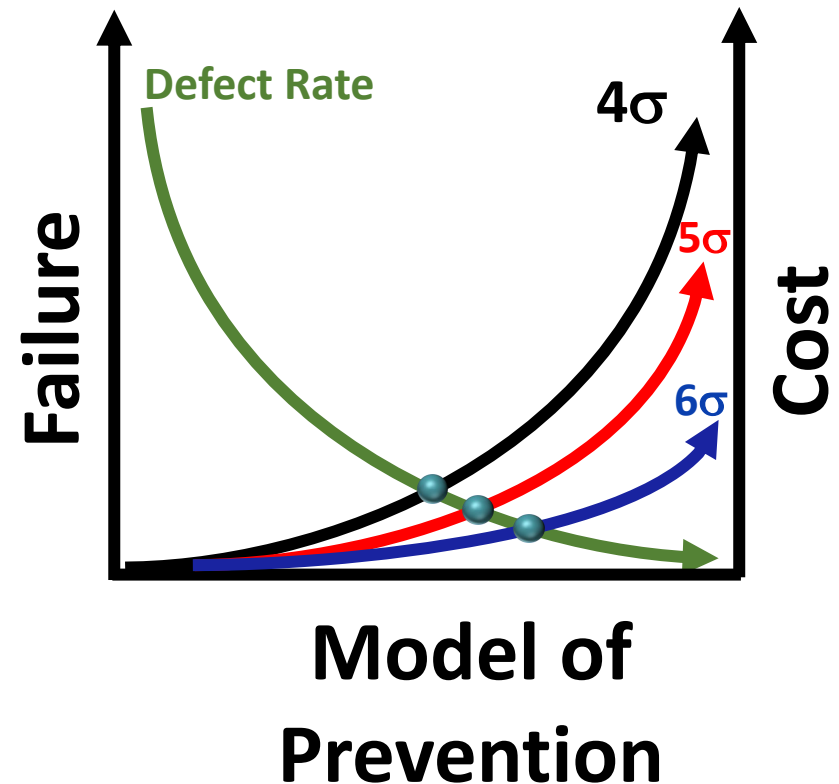
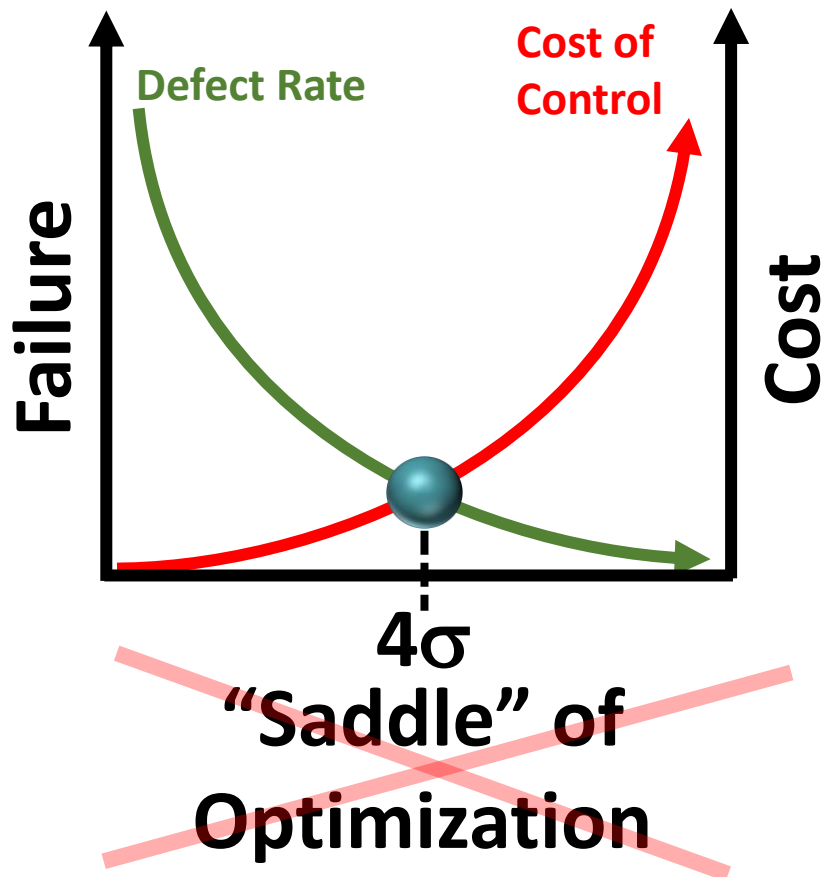
*All Non-Value added steps are in **RED**.*

Cost of Poor Quality – Sigma Level

σ	DPMO	COPQ
2	308,537	N/A
3	66,807	25% - 40%
4	6,210	15% - 25%
5	233	5% - 15%
6	3.4	<1%

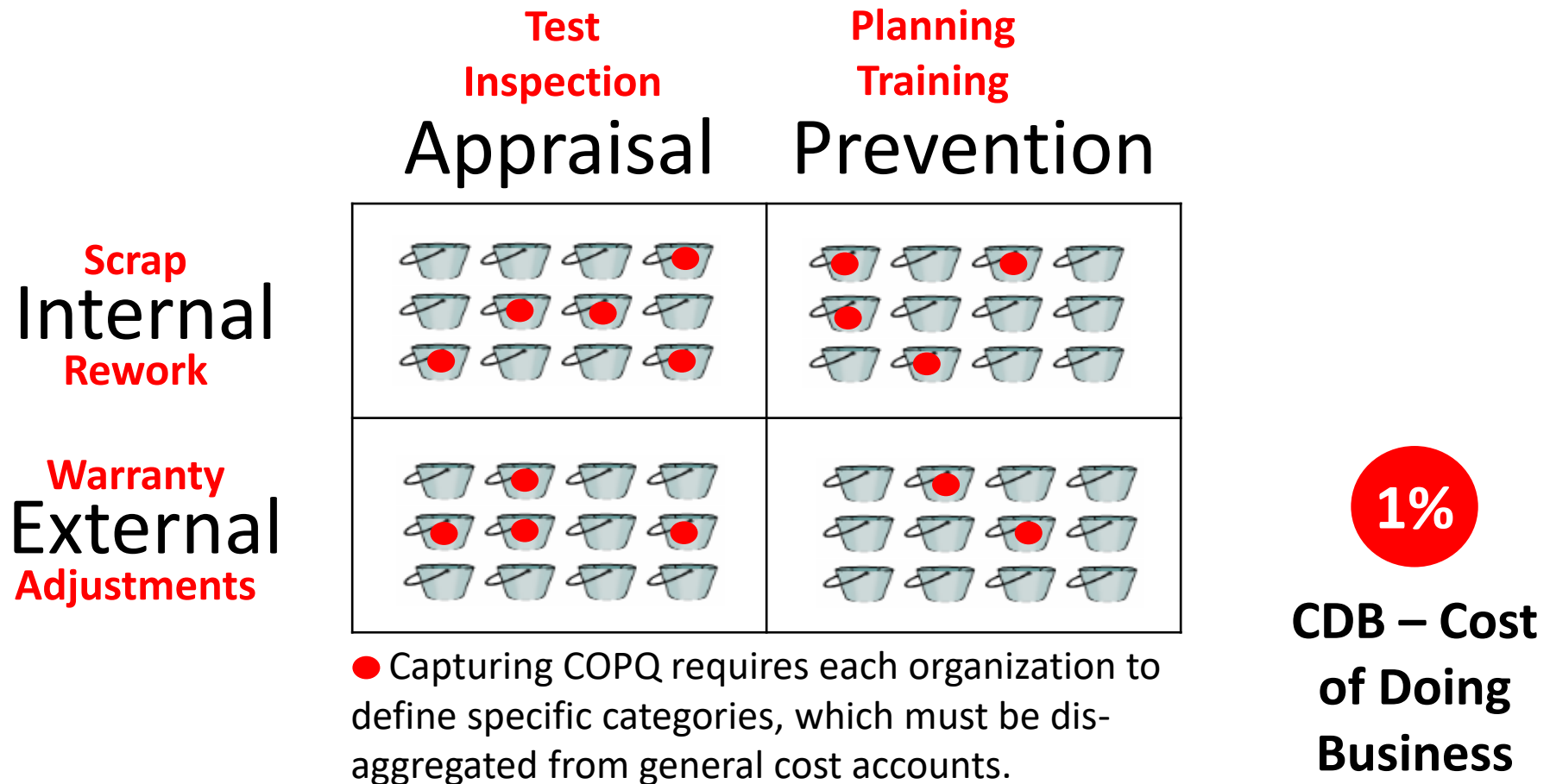
Projected lost sales due to the Cost of Poor Quality.

Traditional Thinking Quality vs. Cost



Accounting Systems don't capture much of the costing.

Cost of Poor Quality



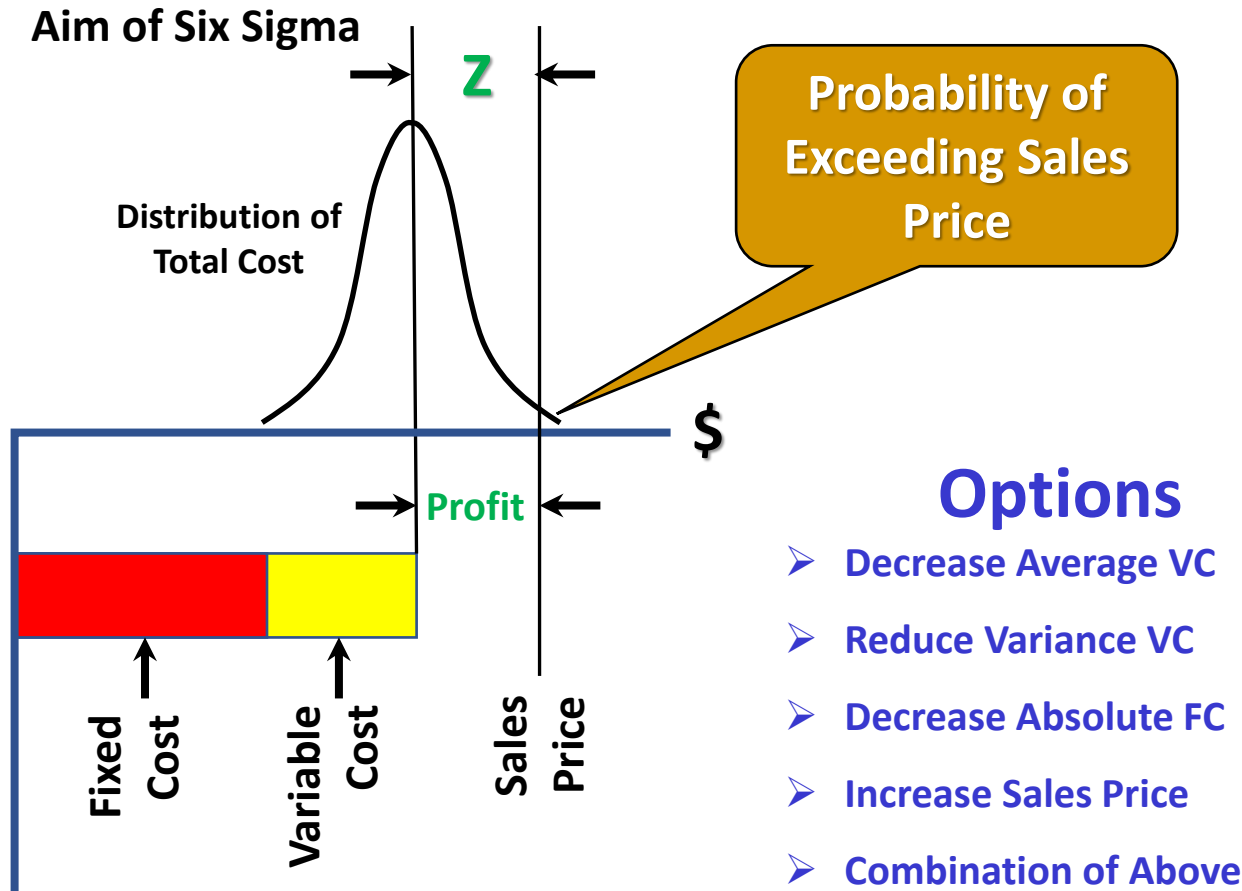
Underestimated numbers mislead organizations, since Accounting processes don't or can't segregate these costs.

Cost of Quality



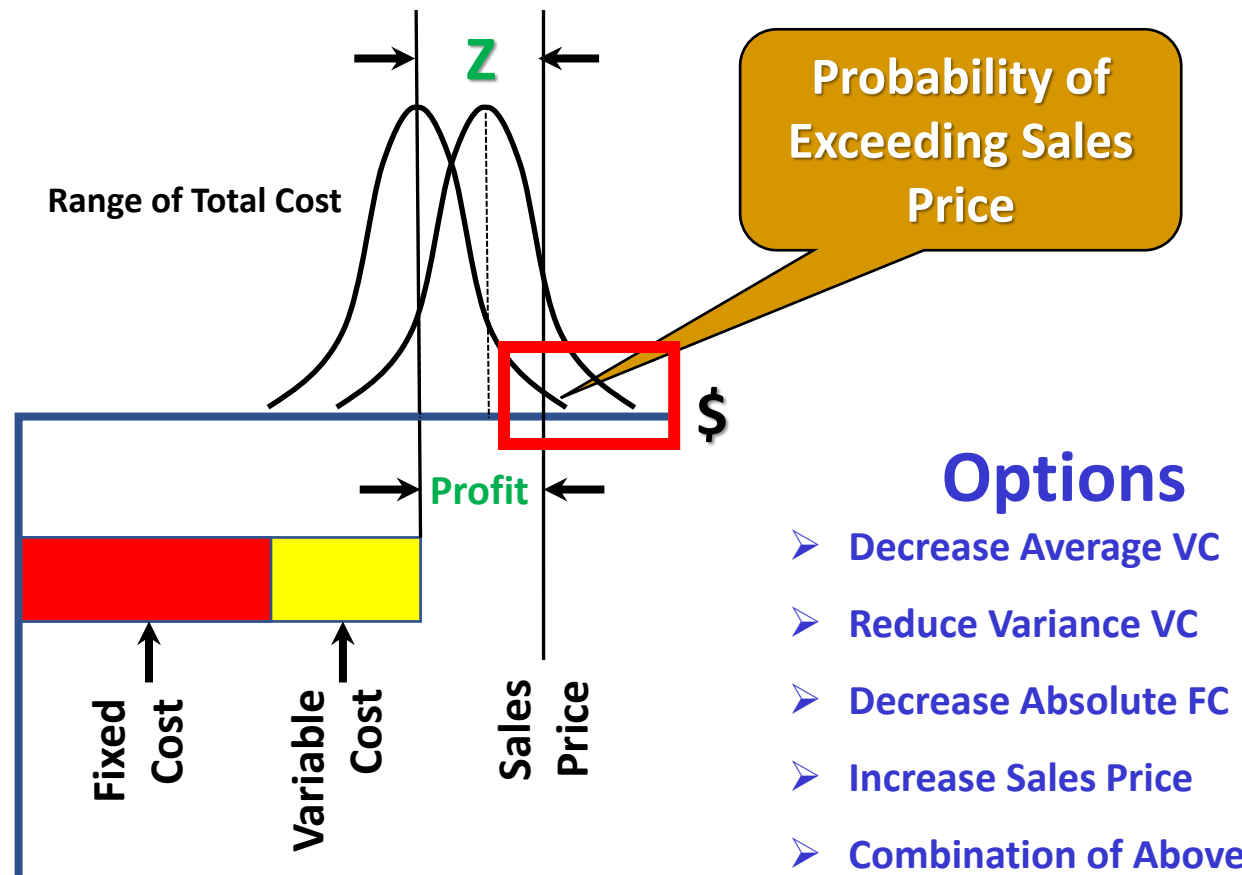
Cost of Quality can spin out of control...upwards as high as 25% to 45% of Sales.

Fundamental Economics of Lean Six Sigma



Cost of Quality causes the Distribution of Total Cost to get larger...

Aim of Lean Six Sigma



The Options impact the probability of “Exceeding” Sales Price, which reduces Cost of Quality (directly related to process capability).